

September 30, 2025

Governor Katie Hobbs
Office of the Governor
1700 W. Washington St.
Phoenix, AZ 85007

The Honorable Warren Petersen
President of the Senate
Arizona State Senate
1700 West Washington
Phoenix, AZ 85007

The Honorable Steve Montenegro
Speaker of the House
Arizona House of Representatives
1700 West Washington
Phoenix, AZ 85007

Auditor General Lindsey Perry
Office of the Auditor General
2910 N. 44th Street, Suite 410
Phoenix, AZ 85018

RE: Reporting requirements per A.R.S. § 35-728 (D) Low Income Housing Tax Credits

Dear President Petersen and Speaker Montenegro:

Pursuant to state law, A.R.S. § 35-728 (D), the Arizona Department of Housing (the Department) is required to provide to your office a report on the Low Income Housing Tax Credit no later than September 30th. We are pleased to provide this report, which includes information on housing programs and projects funded under the FY2025 tax credit round.

Low-Income Housing Tax Credit Program

The Low-Income Housing Tax Credit (LIHTC) Program is a federal program of the U.S. Department of the Treasury/Internal Revenue Service that awards tax credits to private housing developers. The credits are sold to investors and the proceeds are utilized to finance the new construction or acquisition/rehabilitation of rental units for low to moderate-income households.

In FY2025, the Arizona Department of Housing made a significant impact in addressing the state's affordable housing needs by awarding \$20.5 million in new tax credits to 9 projects

through the competitive 9% Low Income Housing Tax Credit round for the development/rehabilitation of 596 LIHTC units for persons of low- or moderate-income. In addition, \$80.9 million in new tax credits were awarded through the noncompetitive 4% LIHTC open application process for the development/rehabilitation of 4,229 LIHTC units for persons of low- or moderate-income. In total, \$101.4 million in new federal tax credits were awarded, supporting 4,825 LIHTC units in FY2025. These totals represent the scale and impact of the state's efforts to promote affordable housing development through strategic investments and partnerships.

Additionally, FY2025 new Arizona State Tax Credits totaling \$2 million were awarded to two projects. To date, the Arizona State Low Income Housing Tax Credit assisted with the development/rehabilitation of 184 LIHTC/STC units for persons of low- or moderate-income. These state tax credits were essential in bridging financing gaps for developments and ensuring that these projects can move forward, providing affordable housing options to Arizona's diverse populations.

The Department's LIHTC awards in FY2025 spanned 5 counties and included 3 projects on tribal land. The Department estimates project development costs of \$2.02 billion dollars will be used in the housing industry as a result of the Department's activities. These investments of tax credits underscore the vital role the Federal Low Income Housing Tax Credit and State Tax Credit programs play in fostering vibrant and sustainable communities and providing safe and affordable housing for all Arizonans.

Should you have any questions regarding these reports, please feel free to contact me at (602) 771-1007.

Sincerely,

A handwritten signature in blue ink, appearing to read 'R. Dhillon-Williams', followed by a horizontal line.

Ruby Dhillon-Williams, Director
Arizona Department of Housing

Enclosures

ARIZONA DEPARTMENT OF HOUSING
FY2025 Low Income Housing Tax Credit Reservation Commitments

9% Low Income Housing Tax Credits												
PROJECT NAME & ADDRESS	COUNTY	LEGISLATIVE DISTRICTS		UNITS		# OF ANTICIPATED PERSONS	FAMILY OR SENIOR	PROJECT TYPE	MULTIFAMILY OR SINGLE FAMILY	STATE TAX CREDIT AWARDED	TAX CREDIT AWARDED	PROJECT COST
		STATE SENATE / STATE HOUSE	CONGRESSIONAL	TOTAL	LIHTC							
Amazon Flats 1135 W Miracle Mile Tucson, AZ 85705-3717	Pima	20	7	59	59	133	Family	New Construction	Multifamily	\$ -	\$2,500,000.00	\$24,668,999.00
Casa Grande - Phase One Apartments 115 W Main Avenue & 202 S Top and Bottom Street Casa Grande, AZ 85122-4820	Pinal	16	6	64	64	144	Family	New Construction	Multifamily	\$1,000,000.00	\$2,000,000.00	\$24,791,299.00
Northern Commons Apartments 2050 W. Northern Avenue Phoenix, AZ 85021-000	Maricopa	26	8	60	60	60	Senior 55+	New Construction	Multifamily	\$ -	\$2,500,000.00	\$29,432,504.00
Shasta Apartments 855 West Prince Road Tucson, AZ 85705-3169	Pima	20	7	100	100	100	Senior 62+	New Construction	Multifamily	\$ -	\$2,500,000.00	\$27,411,927.00
The Granville 4343 W Thomas Road Phoenix, AZ 85031-3861	Maricopa	26	3	152	152	152	Senior 55+	Rehabilitation	Multifamily	\$ -	\$2,500,000.00	\$47,260,837.00
TOKA Homes VII Scattered Sites Parcels in Hanem Ke:k & Kawulk Sells, AZ 85634-0000	Pima	23	7	32	32	72	Family	Tribal/New Construction	Single Family	\$ -	\$2,500,000.00	\$25,510,540.00
TOKA Homes VIII West of Su:Dagi Wo:g Street & S Mission Road Tucson, AZ 85746-0008	Pima	23	7	12	12	27	Family	Tribal/New Construction	Single Family	\$ -	\$1,000,000.00	\$10,831,278.00
Vistara III 606 E. 18th Street Yuma, AZ 85365-0000	Yuma	23	7	80	80	180	Family	New Construction	Multifamily	\$ -	\$2,500,000.00	\$24,244,050.00
Yavapai-Apache Homes X North of East Cherry Creek Road and Old Hwy 279 Camp Verde, AZ 86322-8412	Yavapai	1	2	37	37	83	Family	Tribal/New Construction	Single Family	\$ -	\$2,500,000.00	\$22,052,780.00
				596	596	951				\$1,000,000.00	\$20,500,000.00	\$236,204,214.00

4% Low Income Housing Tax Credits												
PROJECT NAME & ADDRESS	COUNTY	LEGISLATIVE DISTRICTS		UNITS		# OF ANTICIPATED PERSONS	FAMILY OR SENIOR	PROJECT TYPE	MULTIFAMILY OR SINGLE FAMILY	STATE TAX CREDIT AWARDED	TAX CREDIT AWARDED	PROJECT COST
		STATE SENATE / STATE HOUSE	CONGRESSIONAL	TOTAL	LIHTC							
Gunsmoke Ranch Apartments SWC Honeycutt Rd & N Gunsmoke Rd Maricopa, AZ 85138	Pinal	16	2	271	271	610	Family	New Construction	Multifamily	\$ -	\$5,593,716.00	\$123,354,314.00

Memorial Towers 1405 South 7th Avenue Phoenix, AZ 85007	Maricopa	27	3	152	152	152	Senior 55+	Rehabilitation	Multifamily	\$ -	\$2,713,355.00	\$64,548,920.00
The Acacia at Youngtown Phase II W Peoria Ave & Nofs Dr Youngtown, AZ 85363	Maricopa	29	9	120	120	270	Family	New Construction	Multifamily	\$ 1,000,000.00	\$2,000,000.00	\$44,975,948.00
The Acacia at Youngtown Phase I W Peoria Ave & Nofs Dr Youngtown, AZ 85363	Maricopa	29	9	192	192	432	Family	New Construction	Multifamily	\$ -	\$3,603,285.00	\$75,977,019.00
Saddleback Village at Stonegate Southwest Corner of Alan Stephens Pkwy & Stonegate Rd Maricopa, AZ 85138	Pinal	16	2	215	215	484	Family	New Construction	Multifamily	\$ -	\$4,634,678.00	\$102,464,161.00
Jesse Owens Parkway 139 East Jesse Owens Parkway Phoenix, AZ 85042	Maricopa	11	3	236	236	531	Family	New Construction	Multifamily	\$ -	\$4,049,456.00	\$89,010,530.00
Emberwood Apartments (Casa Grande Senior) North Peart Road & Oneil Drive Casa Grande, AZ 85018	Pinal	16	2	176	176	176	Senior 55+	New Construction	Multifamily	\$ -	\$2,891,689.00	\$62,751,770.00
Alma Apartments (fka Casa Grande Family) North Peart Road & Oneil Drive Casa Grande, AZ 85018	Pinal	16	2	216	216	486	Family	New Construction	Multifamily	\$ -	\$4,183,052.00	\$90,395,157.00
Virata Apartments (Maricopa II) 18146 N Alan Stephens Pkwy Maricopa, AZ 85138	Pinal	16	2	216	216	486	Family	New Construction	Multifamily	\$ -	\$3,904,515.00	\$85,853,000.00
Calypso at Ballpark Village (The Mound at Ballpark Village) NE Corner of W Yuma Rd and S Estrella Pkwy Goodyear, AZ 85338	Maricopa	23	9	203	203	457	Family	New Construction	Multifamily	\$ -	\$3,750,142.00	\$84,553,465.00
Glendale Apartments 6819 27th St. Phoenix, AZ 85017	Maricopa	26	8	45	44	101	Family	New Construction	Multifamily	\$ -	\$1,004,918.00	\$21,615,236.00
Fort Whipple Veterans Housing 500 N State Route 89 Prescott, AZ 86313	Yavapai	1	4	103	103	232	Family	New Construction	Multifamily	\$ -	\$1,909,751.00	\$41,156,702.00

Tecoma Square (Bella Vista Apartments) SEC E Bella Vista Road & N Gantzel Road San Tan Valley, AZ 85143												
	Pinal	15	5	252	252	567	Family	New Construction	Multifamily	\$ -	\$4,633,890.00	\$103,218,985.00
Eloy Goy Housing Scattered Site Eloy, AZ 85131												
	Pinal	16	6	30	30	68	Family	New Construction	Single Family	\$ -	\$941,178.00	\$25,112,339.00
Butterfield Commons 44235 Reinsman Blvd Maricopa, AZ 85138												
	Pinal	16	2	174	174	392	Family	New Construction	Multifamily	\$ -	\$2,825,088.00	\$61,828,942.00
The Villas on Shelby 2250 Shelby Drive Sedona, AZ 86336-5483												
	Yavapai	1	2	30	30	68	Family	New Construction	Multifamily	\$ -	\$690,454.00	\$14,427,477.00
Townhomes on Early 1355 E Earley Road Casa Grande, AZ 85194												
	Pinal	16	6	278	278	626	Family	New Construction	Multifamily	\$ -	\$5,782,018.00	\$126,732,853.00
Emory Heights 5245 and 5307 N 17th Avenue Phoenix, AZ 85015-3036												
	Maricopa	24	7	62	62	140	Family	New Construction	Multifamily	\$ -	\$1,066,816.00	\$23,689,662.00
Everstone North 8211 N 63rd Ave Phoenix, AZ 85339												
	Maricopa	11	3	228	228	513	Family	New Construction	Multifamily	\$ -	\$4,070,848.00	\$90,729,964.00
Everstone South SE Corner of Baseline Rd & 63rd Ave Phoenix, AZ 85339												
	Maricopa	11	3	180	180	405	Family	New Construction	Multifamily	\$ -	\$3,287,993.00	\$74,145,509.00
Allasso Ranch SW Happy Valley Rd & 147th Ave Surprise, AZ 85387												
	Maricopa	29	9	304	304	684	Family	New Construction	Multifamily	\$ -	\$6,981,889.00	\$155,791,132.00
Sidney Village (Buckeye Family) SEC Yuma Rd & Apache Rd Buckeye, AZ 85326												
	Maricopa	25	9	200	200	450	Family	New Construction	Multifamily	\$ -	\$4,690,038.00	\$100,247,007.00
Tanner Terrace 7138 North 45th Ave Glendale, AZ 85301												
	Maricopa	24	8	156	155	156	Senior 62+	Rehabilitation	Multifamily	\$ -	\$2,204,269.00	\$53,351,461.00

Broadway Farms NEC of S. 91st Ave and W. Broadway Rd. Phoenix, AZ 85353												
	Maricopa	22	3	190	190	428	Family	New Construction	Multifamily	\$ -	\$3,501,479.00	\$77,736,308.00
				4,229	4,227	8,910				\$1,000,000.00	\$80,914,517.00	\$1,793,667,861.00